

Kerala—are preparing for take off. The government recently awarded no-objection certificate to three of them.

This is in sharp contrast to the fate of the bigger airlines. IndiGo, with the largest market share, saw a meltdown in December 2025 due to rostering and pilot issues leading to mass flight cancellations. It reported a loss of ₹2,582 crore in the second quarter of FY26, 161% up from ₹986 crore in the same period last year. The Air India crash in Ahmedabad in June 2025 has slowed the carrier’s revival plan. It is also facing a delay in aircraft delivery and supply chain issues. The second-biggest airline reported a loss of ₹3,976 crore in FY25. Even Akasa and Spicejet reported losses in FY24

India’s tryst with regional airlines, small carriers that con-

nect short-haul routes, began in 1981 with the launch of Vayudoot, a government of India company that connected over 100 regional destinations with Dornier aircraft. After being operational for over a decade, it shut owing to deteriorating finances.

After decades, regional operators are taking a leaf out of the operational book of Vayudoot to prioritise their regional strategy. But with a difference. They are giving top priority to financial prudence, something that the country’s first regional airline lost midway, leading to its collapse.

Star Air, India’s largest private regional aviation player, and the newbie, Fly91, have a clear model—build the right financial structure, choose the right sectors and look at aviation as a transportation business—to sustain themselves

in a business that has been the nemesis of tens of biggies, right from Jet to GoAir and Kingfisher.

In FY25, only two Indian airlines made a profit. The first one was IndiGo and the second was Star Air, run by Kolhapur, Maharashtra-based Godhawat group. It has been operating since 2018 with connectivity to 31 cities and plans to scale up to 50 destinations by 2030.

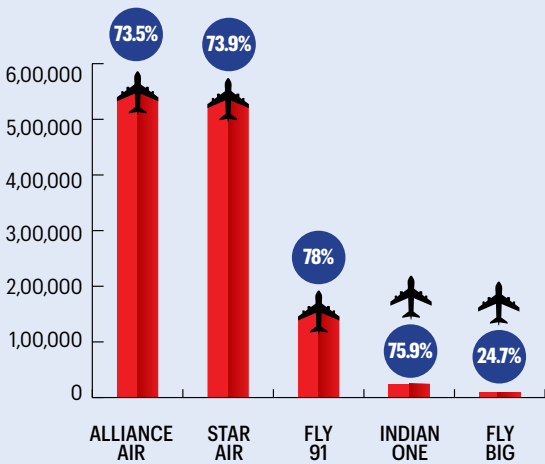
Does regional air connectivity makes business sense? Experts reply in the affirmative. The US has over 6,000 airports for a population of 300 million, while India has less than 200 for 1.5 billion people, providing immense potential for expansion to smaller towns, where incomes are rising faster than ever.

All these airlines are banking on first-time flyers from non-

ALLIANCE, STAR TAKE POLE POSITION

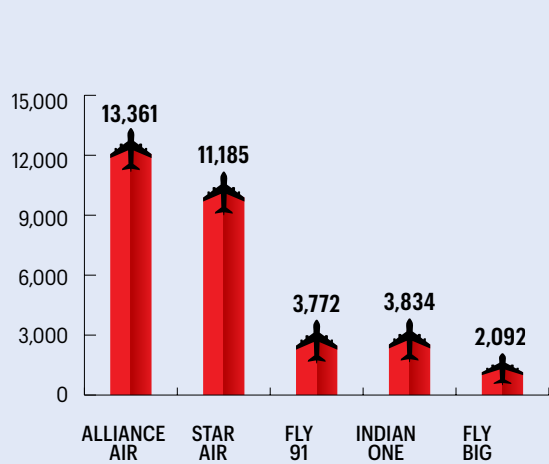
• Star Air became profitable in FY25 • Fly91 aims to break even in FY27

PASSENGERS CARRIED (JAN-SEP 25)



NOTE FIGURES IN BUBBLE SHOW LOAD FACTORS IN %
SOURCE DGCA

DEPARTURES (JAN-SEP 25)



SOURCE DGCA